



DUNCAN & TAYLOR

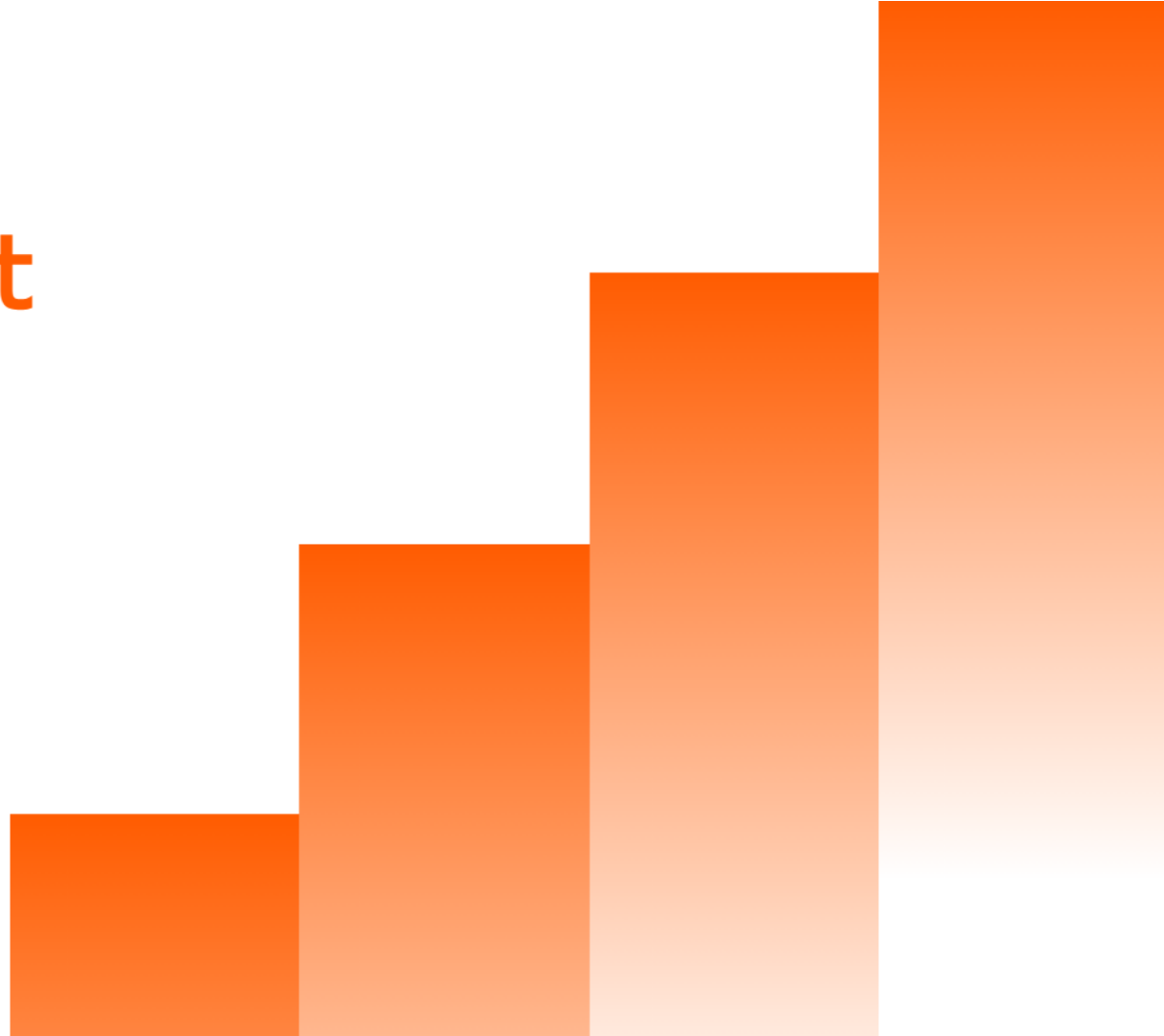
BUILDING & DECORATING EXCELLENCE

Insurance reinstatement made easy

Premium Reinstatement Specialists
for New Zealand homes.

INFORMATION MEMORANDUM

**STRICTLY PRIVATE AND CONFIDENTIAL
SEPTEMBER 2024**



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1. EXECUTIVE SUMMARY



BUSINESS OVERVIEW

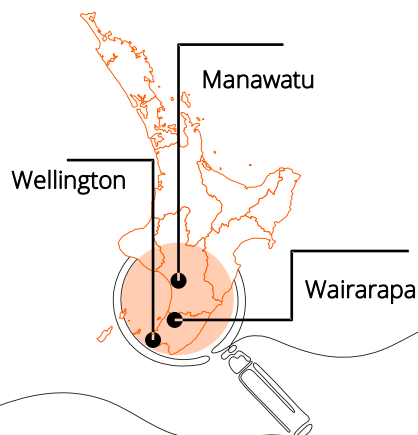
Duncan & Taylor are a market-leading insurance reinstatement specialist.

Introduction

- Duncan & Taylor Limited and Duncan & Taylor Management Group Limited (collectively **D&T** or the **Company**) is a leading New Zealand insurance reinstatement specialist. With over 50 years of history, D&T have built a strong reputation for consistent and high-quality delivery of their projects. D&T is on the reinstatement panels for all major domestic insurers in the New Zealand market and maintains strong relationships with insurance intermediaries including loss adjustors and brokers, supporting a healthy pipeline of work.
- D&T employs a unique model which includes an Alliance Group, a network comprising a collective of trusted expert trades people. The Alliance Group act as the project lead delivering reinstatement work via established contractual relationships with D&T.
- The interface between the Alliance Group and insurance companies is managed by D&T who employ experienced staff with established processes and digital tools ensuring efficient delivery.
- D&T's model has proven to be scalable with the Company successfully expanding from Wellington into the Wairarapa and Manawatu. D&T is investing into new digital tools which will aid scalability, improve customer experience and support growth.

Geographic focus

- D&T was founded in Wellington and focused on that market for many years. Under the leadership of the current management team, D&T has successfully expanded to cover much of the lower North Island.
- Management believe that further geographic expansion represents a significant opportunity for D&T.



50+ years

Established in 1969
D&T has been in the
business for
over 50 years

10,000

D&T have completed
over 10k projects
across its history

50+

Alliance Group
members, supporting
high quality, efficient
delivery of projects

100%

D&T has relationships
with all of the domestic
insurers in New
Zealand

18%

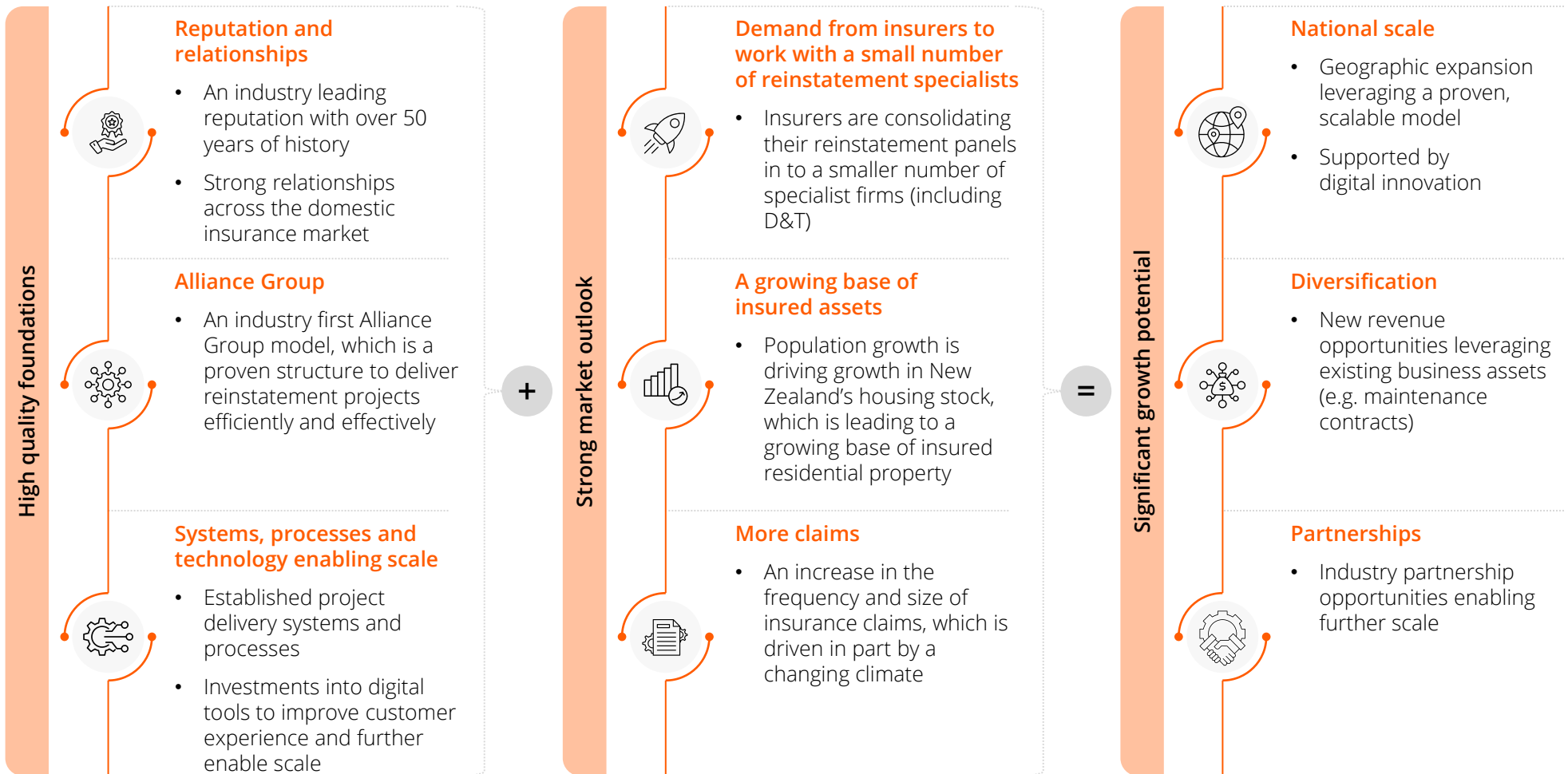
Revenue CAGR of 18%
across the FY21 to June
LTM period

Industry registrations, memberships and alliances



INVESTMENT HIGHLIGHTS

D&T's high-quality foundations coupled with a strong market outlook results in significant growth opportunity for the Company.



Underpinned by industry dynamics which are isolated from the prevailing economic conditions

HIGH QUALITY FOUNDATIONS

D&T is an industry leader and has established the foundations to support growth and nationwide scale.

High quality foundations



Reputation and relationships

- D&T is recognised as an industry leader in the insurance reinstatement market. This reputation has been developed over a 50+ year history of delivering high-quality services to its customers with excellent communication and transparency throughout the reinstatement process. Insurers know they will receive a seamless service when working with D&T.
- D&T has contracts in place with all of the major domestic insurers in New Zealand meaning they are always on the short list of reinstatement providers. Existing relationships can be leveraged to secure work in new regions as the business scales.
- In addition to insurers, D&T has established relationships with a range of insurance intermediaries including loss adjustors and insurance brokers. These relationships support the pipeline of work for D&T.



Alliance Network

- D&T have developed an industry first Alliance Group of specialist tradespeople who meet D&T's standards for quality, timeliness and reputation.
- The Alliance Group is engaged under a standardised contractual framework and commercial model which provides D&T with margin stability and protection while also incentivising the efficient completion of projects.
- The Alliance Group approach has enabled the business to scale without compromise to reputation, having been successfully rolled out in the Manawatu and Wairarapa regions.



Systems, processes and technology enabling scale

- Having been in business for over 50 years, D&T has established robust systems, processes and business infrastructure. This enables D&T to bridge the gap between corporate insurers' high health and safety and reporting standards and SME tradespeople who would otherwise struggle to meet the requirements of insurers.
- D&T leverages digital tools to streamline various workstreams and is in the process of developing new tools to improve customer experience and support scale.
- The business infrastructure and supporting systems developed by D&T have been successfully replicated in its recent geographic expansions, proving the scalability of the model to support future growth.

STRONG MARKET OUTLOOK

D&T operates in a market with a strong outlook contributing to a growing pipeline of work, enabling further scale.

Strong market outlook



Demand from insurers to work with a small number of reinstatement specialists

- With increasing complexities, regulatory and compliance requirements, insurers are dramatically reducing the size of their insurance reinstatement panels. While insurers were previously comfortable working with 50+ different tradespeople to deliver reinstatement work, they now only want to deal with a smaller number of trusted providers (such as D&T).
- This trend is increasing the demand for services from firms such as D&T who can bridge the gap between insurers and SME tradespeople (“tradies”) who are required to deliver the work.



A growing base of insured assets

- The New Zealand population is projected to continue to grow, with the population forecast to reach 6.8m by 2048. An increasing population is a significant contributor to a growing base of insured assets within the domestic insurance market.
- Supported by these demographic trends and increases in asset values, the base of assets insured under general insurance in New Zealand is growing.
- Since 2019 the domestic insurance market in New Zealand has grown from annual gross written premiums of \$1.86b in 2019 to \$2.59b in 2023, a compound annual growth rate of 8.2%.



More claims

- The value of domestic insurance claims across the 2019 to 2023 period has grown at a faster rate than the underlying gross written premiums, with a CAGR of 20%.
- An increase in extreme weather events is expected as the climate continues to change, with this trend highlighting the importance of reliable and efficient reinstatement specialists, such as D&T.

SIGNIFIGANT GROWTH POTENTIAL

D&T's management team see significant growth opportunities for the Company.

Significant growth potential



National scale

- D&T's established foundations, including reputation and relationships, the Alliance Group, systems, processes and technology, can be quickly and easily replicated in new geographics as the Company scales.
- This scalability has been proven with the successful expansion into the Manawatu and Wairarapa regions, from the Wellington base.
- D&T's management team believe that there is material opportunity for further expansion into new regions, however this needs to be done in conjunction with support/ demand from an insurer within the new region. This provides a baseline of work which can be grown over time.
- A key strategic focus of D&T is developing national level relationships with insurers to enable this geographic expansion.



Diversification

- While in recent years D&T has been focused on growing its insurance reinstatement business, the Company is also involved in a small number of maintenance partnerships for significant property owners (e.g. Oranga Tamariki).
- The model deployed by D&T on insurance reinstatement work can also be successfully deployed on maintenance contracts, and there is an opportunity to grow the portfolio of maintenance contracts over time.



Partnerships

- There is an opportunity for D&T to develop deeper relationships and partnerships with a range of other industry participants who have influence over insurers and their decision making (e.g. insurance brokers and property managers).

2. INDUSTRY OVERVIEW



MARKET STRUCTURE: BRIDGING THE GAP

Reinstatement specialists (such as D&T) play a key role bridging the gap between insurers and tradespeople.

Insurers

Key requirements:

-  An increasing desire to work with a smaller number of trusted reinstatement specialists driven by a need to minimise touchpoints and ensure efficiency when addressing a claim.
-  Consistency in project delivery, timetable and quality.
-  High compliance requirements including health and safety, reporting and monitoring.

Key players:



A trusted brand which has successfully delivered reinstatement projects for over 50 years

Expertise managing insurance reinstatements, including claim variations, meeting insurance standards for communication and managing vulnerable claimants

Contractual arrangements in place with all major insurers in New Zealand

Alliance Group

- A contractual framework to enable the engagement of “tradies” in insurance reinstatement work, either as Alliance Group members or as sub-contractors to the Alliance Group.
- A highly motivated workforce, driven by a payment model that incentivises projects to be completed quickly and to a high standard.
- Clear standards on quality and delivery.
- Health and safety support for Alliance group members to ensure insurer standards are met.
- Clear instructions to enable reporting requirements to be met.

Digital tools

- Digital tools are deployed to support with job management and reporting.
- D&T is investing in digital innovation to improve customer experience and support future growth. The first of three innovations is in the pilot phase.

SME “tradies”

Generally required to deliver reinstatement work, however:

-  Often only provide a singular trade (e.g. plumbers).
-  Often have limited resources to comply with “corporate” requirements relating to reporting and monitoring.
-  A lack of experience dealing with the specifics of insurance claims (e.g. claim variations).
-  Can face financial and time constraints to invest in health & safety requirements.

Digital tools to support project delivery

INDUSTRY TRENDS

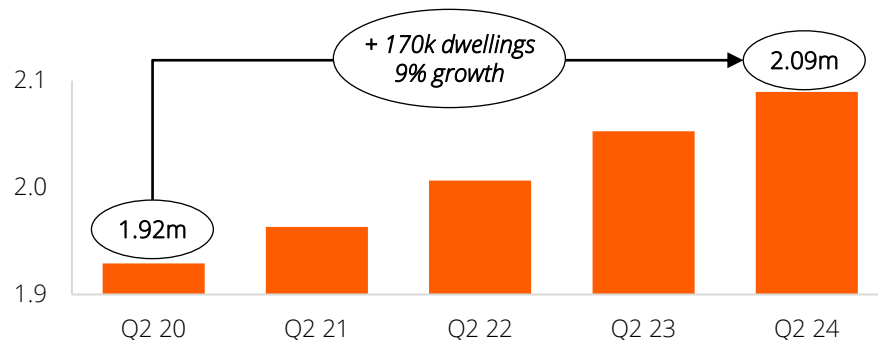
A growing base of insured assets in New Zealand is expected to support continued growth for reinstatement specialists.

The number of residential dwellings in New Zealand is growing ...



- Between Q2 2020 and Q2 2024 the number of residential dwellings in New Zealand has increased from 1.92m to 2.09m, an increase of 8.3% or ~170k homes.
- Population growth is a key driver for the increase in residential dwellings, with the New Zealand population having grown by ~248,000 people over the same period.
- The New Zealand population is expected to continue to grow with forecasts predicting the population to reach 6.8m by 2048 (from a population of 5.7m currently).
- This increasing 'housing stock' is a significant contributor to growth in the domestic insurance market.

Residential dwellings Q2 '20 to Q2 '24 (m)



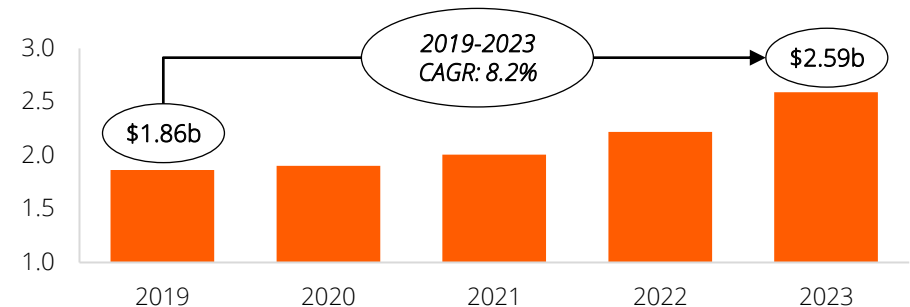
Source: Stats NZ



... contributing to a growing domestic insurance market

- Since 2019 the domestic insurance market in New Zealand has grown from annual gross written premiums of \$1.86b in 2019 to \$2.59b in 2023, a compound annual growth rate of 8.2%.
- The increase in residential dwellings coupled with increasing replacement costs are key drivers of this growth. Additionally, pricing increases by insurers to reflect a growing risk profile (e.g. increasing reinstatement costs) is also a key driver.
- The size of the domestic insurance base is a fundamental driver for the D&T business.

NZ domestic and contents gross written premiums (\$bn)



Source: Insurance Council of New Zealand

INDUSTRY TRENDS (CONT.)

An increase in the frequency and size of domestic insurance claims is highlighting the critical role that reinstatement specialists play in the insurance market.

An increase in the frequency and severity of natural weather events is contributing to increases in the value and volume of domestic insurance claims ...



- Climate change has increased the underlying risks of flood, storm, and other weather events in many areas of New Zealand, a trend that may accelerate in the future with further changes in the climate. For example, the cost of insurance claims across all categories for severe weather events in early 2023 was ~\$3.5bn, which compares with \$350m in climate related insurance claims in 2022.
- There is a clear trend of insurers responding to this new reality by moving towards a greater use of risk-based pricing for residential dwelling insurance, where the value of insurance premiums is tailored to the specific risks a property faces (e.g. flooding) as opposed to reflecting broad averages of the risks facing properties in the area.

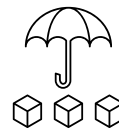
Climate change is also contributing to higher underlying physical risks, including floods, storms, and other damaging weather events. Insurance premiums will increase if insured losses from these events also grow.

(RESERVE BANK OF NEW ZEALAND)

The risk profile of the top 10 countries facing the highest risk as a proportion of their GDP has hardly changed...New Zealand is number two on the list, with an expected annual loss of 0.7% [of GDP]; however, its high insurance penetration levels means it remains well protected.

(LLOYDS OF LONDON)

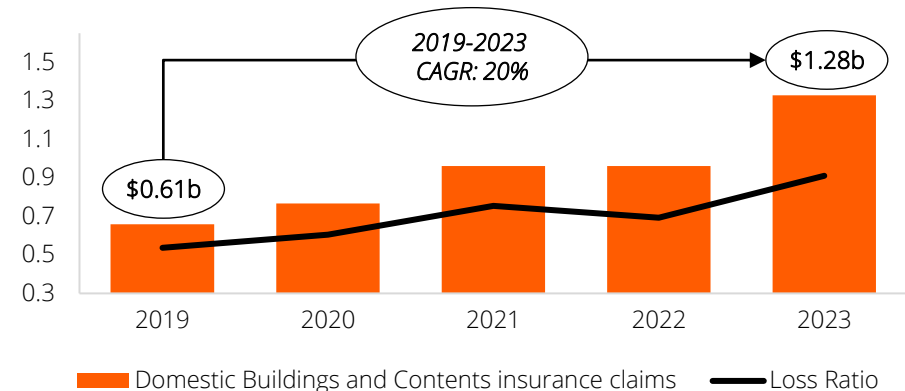
Sources: Insurance Council of New Zealand, Reserve Bank of New Zealand, Lloyds of London



... this trend is observable in insurance industry data

- The value of domestic insurance claims across 2019 to 2023 has grown at a faster rate than the underlying gross written premiums, with a CAGR of 20%.
- This is partially driven by a number of significant events in the 2023 period including the Auckland Floods and Cyclone Gabrielle. However, the CAGR between 2019 and 2022 was 14% which still out paces growth in the gross written premium base.
- There is a predicted increase in extreme weather events moving forward, with this trend highlighting the importance of reliable and efficient reinstatement specialists such as D&T.

NZ domestic and contents net insurance claims incurred (\$bn)¹

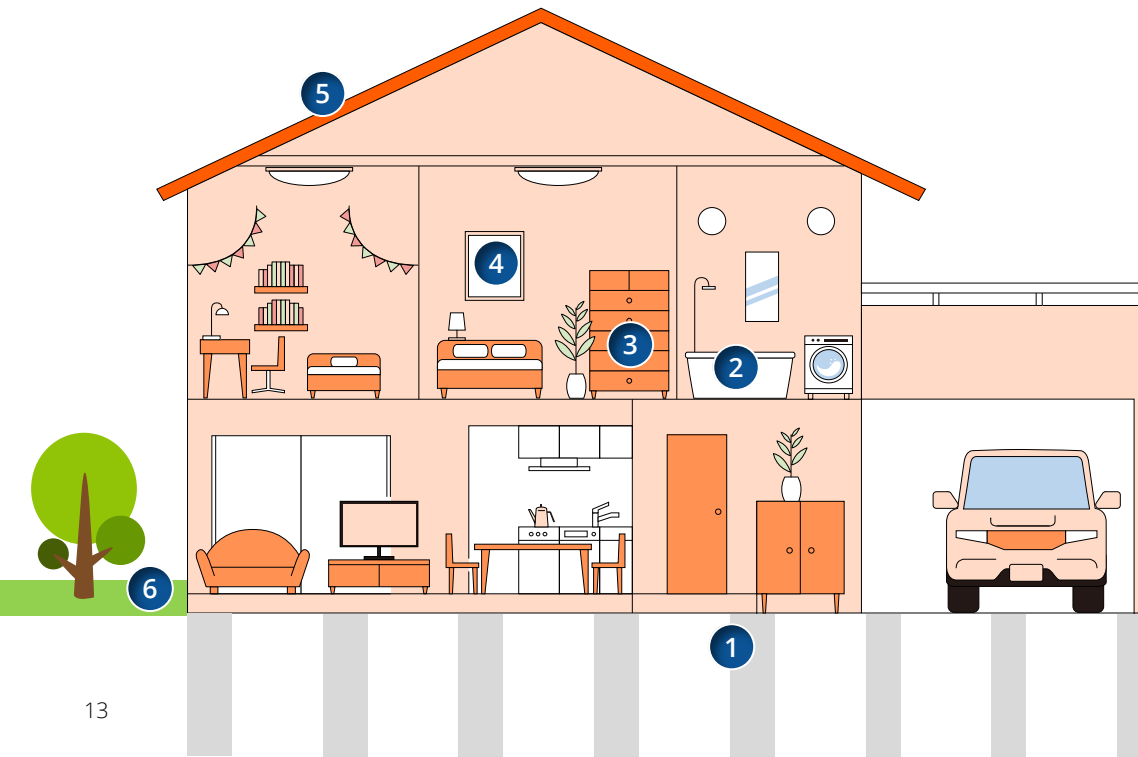


Source: Insurance Council of New Zealand

REINSTATEMENT SCOPE

Insurance reinstatement covers all building and decorating elements of domestic insurance claims.

- Reinstatement specialists are involved in all building and construction elements of domestic insurance claims.
- The scope of a particular job can span from small patch, plaster, and paint repairs worth ~\$1k through to a full re-build in the case of catastrophic damage, worth upwards of \$250k. D&T are engaged for reinstatement work right across this spectrum.
- The automotive and contents aspects of domestic insurance claims is generally excluded from the scope of reinstatement specialists.



1

Walls and foundations

Framing, wall linings and decorating. Piles, foundations, floor framing and insulation.

2

Plumbing and electrical

Plumbing, bathroom fixtures, tiling, underfloor heating systems. Electrical work.

3

Fixtures and fittings

Fixtures such as cabinetry, heat pumps, and fireplaces.

4

Windows and doors

Window frames, windows, curtains and blinds. Door frames, doors (incl. painting), garage doors and other electrical doors.

5

Roof work

Exterior roof cladding, roof framing and ceiling insulation.

6

Outdoor features

Outdoor features such as fences, decking, verandas and arboristry.

3. BUSINESS OVERVIEW



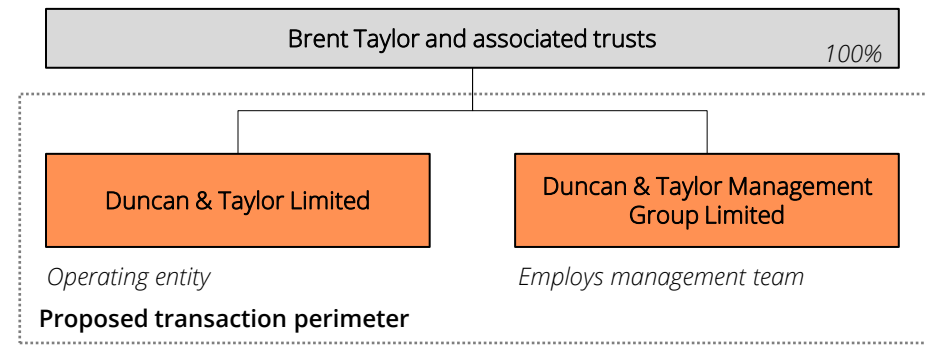
COMPANY OVERVIEW

D&T has a rich history, founded in 1969 it has grown to be one of the largest and most trusted insurance reinstatement specialists in New Zealand.

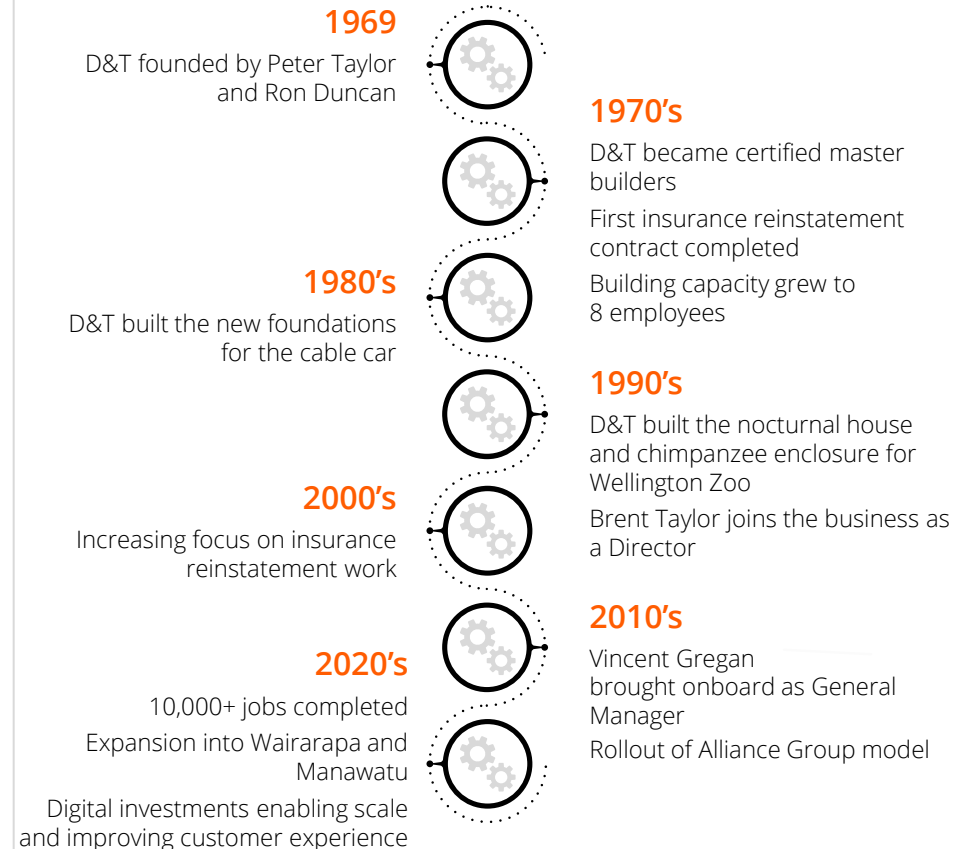
Introduction

- D&T was founded in 1969 by Peter Taylor and Ron Duncan and has remained under family ownership, with Brent Taylor (the son of Peter Taylor) now having 100% ownership of the business (via family trusts).
- Across its over 50-year history D&T has built a strong reputation as a trusted construction partner with a mixture of insurance reinstatement and public maintenance work. This included working on some iconic projects across the Wellington region.
- In 2017, D&T brought in Vincent Gregan (**Vince**) as General Manager to enable the current shareholders to transition from a management role to a governance role.
- Under the leadership of Vince, D&T established the Alliance Group model of trusted and experienced tradespeople to support with the seamless delivery of project work. Vince has also led the geographic expansion of the business with coverage now spanning the Manawatu and the Wairarapa regions.
- D&T is now one of the largest insurance reinstatement specialists in the New Zealand market.
- The current management team can see significant growth potential for D&T, leveraging the Alliance Group model and digital innovations. The current shareholders are exploring options for a future owner to support the business (alongside the current management team) with this next phase of growth.

Company structure



Company history

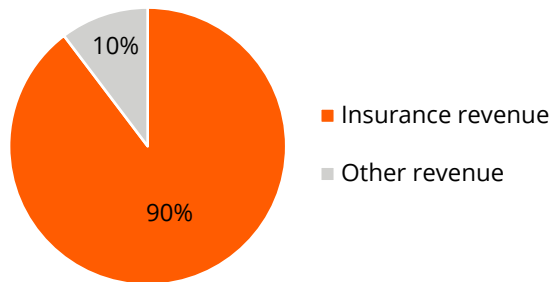


COMPOSITION OF REVENUE

D&T work with all major New Zealand insurance companies and have established relationships with insurance intermediaries including loss adjustors and brokers.

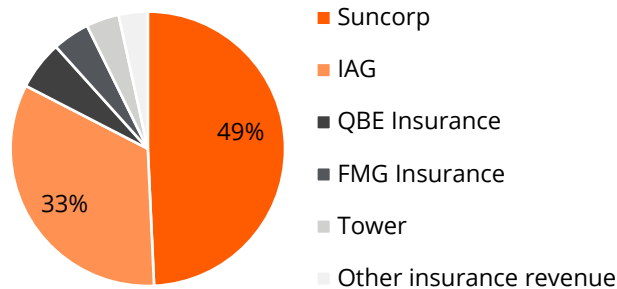
Over 90% of D&T's revenue in the 12 months to June 24 (June LTM) was generated through insurance reinstatement work ...

D&T | LTM revenue by source



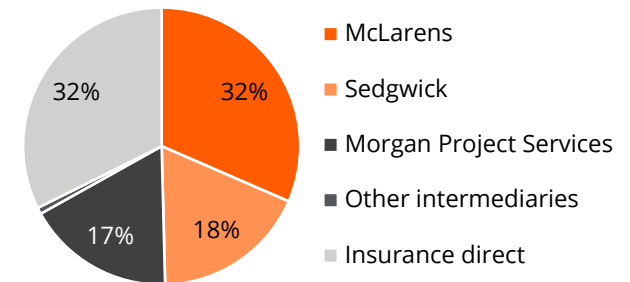
... consistent with the overall domestic insurance market in New Zealand, the insurance brands under the Suncorp and IAG umbrellas accounted for 82% of D&T insurance revenue ...

D&T | LTM insurance revenue by company



... loss adjustors or other insurance intermediaries are involved in ~70% of all D&T insurance revenue, with three of the scale players representing the vast majority ...

D&T | LTM insurance revenue by intermediary



D&T work with all major domestic insurance brands in the New Zealand market.

IAG Brands

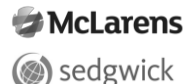


Suncorp Brands



In addition to insurers, D&T also have strong relationships with a range of insurance intermediaries, including loss adjustors and insurance brokers.

Loss adjustors or specialist project management firms responsible for managing claims on behalf of insurers



GALLAGHER BASSETT



Brokers who sometimes manage claims on behalf of the policy holder



Formerly crombie lockwood



Insurance project managers



VALUE PROPOSITION

D&T's value proposition is increasingly attractive to insurance and loss-adjustor clients in a market where efficiency and quality of service is critical.

Value proposition

- D&T's reputation has been built on a compelling value proposition which focuses on four core attributes. This ensures D&T delivers an efficient and cost-effective reinstatement process. Communication and transparency is at the forefront of these attributes, as from initial quote through to project delivery D&T ensures that all stakeholders are kept up to date throughout the whole process. D&T's investment in digital tools will enhance the customer experience for stakeholders by providing an online platform to view job progress and increase transparency over pricing.
- Careful project management and the deployment of trusted Alliance Group members ensures that insurers and policy holders receive exceptional service that is always delivered on time.
- The legacy and reputation held by D&T provides customers with the confidence that they can rely on D&T to get the job done.

Communication and transparency

D&T has a dedicated team for scoping and quoting, ensuring rapid timeframes and efficient service for loss adjustors.

D&T specialists report frequently to loss adjustors and insurers through their dedicated support system.



Always on time

D&T utilises technology and established processes for seamless job monitoring and communication, ensuring timely delivery.

D&T's decades of experience mean they have confidence they can meet the time estimates provided to customers.



Exceptional service

D&T maintain a strict and honest approach to their work, ensuring there will not be any unexpected costs at the project's end.

D&T guarantees same-day make safes and provides a core group of specialists available 24/7 for urgent and emergency work. D&T stands ready to respond to major weather events when required.



Legacy and reputation

With over 50 years of experience, the D&T team is dedicated to ensuring efficient and hassle-free reinstatements for their insurance clients and claimant stakeholders.



ALLIANCE GROUP

D&T's Alliance Group is a unique model in the industry and supports efficiency and scalability.

The D&T Alliance Group

- The D&T Alliance Group is a core network of general tradespeople who are responsible for delivering reinstatement projects (with D&T support and oversight). Each Alliance Member is required to meet D&T's standard of excellence and have been professionally onboarded with D&T systems and processes.
- When a project is secured D&T's regional managers will allocate the job to the Alliance Group member they believe is most suited based on their experience and availability. The Alliance Group member is then responsible for project managing the job, and managing any sub-contractors required to complete the work. Alliance Group members operate independently of D&T and are free to decline jobs and take on work outside of D&T.
- D&T have structured the contractual arrangements with the Alliance Group in a way that protects D&T's margin as much as possible and incentivises efficiency. Management has observed that this model has driven Alliance Members to be 2-3 times more productive than tradespeople on fixed hourly wage rates. Further details on the margin profile is included on the following pages.

The Alliance Group contractual arrangements

Each Alliance Group member is a party to a standardised contractual agreement with D&T. These arrangements provide D&T with the comfort that the Alliance Group member will uphold their high standards, these include:

- D&T works with a law firm to onboard Alliance Group members. The onboarding process includes a series of checks including insurance coverage, health and safety policies, and qualifications, before a formal Alliance Group contract is offered. The member agrees to meet D&T's reporting requirements (e.g. regular written updates, photos of progress), which back to backs with the reporting expectations of insurance clients.
- The contract includes a standardised pricing model with the Alliance Group member managing the quoted cost less D&T's margin. If the project is delivered for less than this cost the Alliance Group member benefits (unless otherwise agreed).
- The contract does not include any guaranteed minimum volume of work and the member retains the freedom to turn down jobs.



Typical Alliance Group trades

Other specialist trades are procured from a wider subcontractor base as required



Carpentry & joinery



Plaster & decoration



Quoting



Project management



Roofing



Plumbing & gasfitting



Demolition & strip out



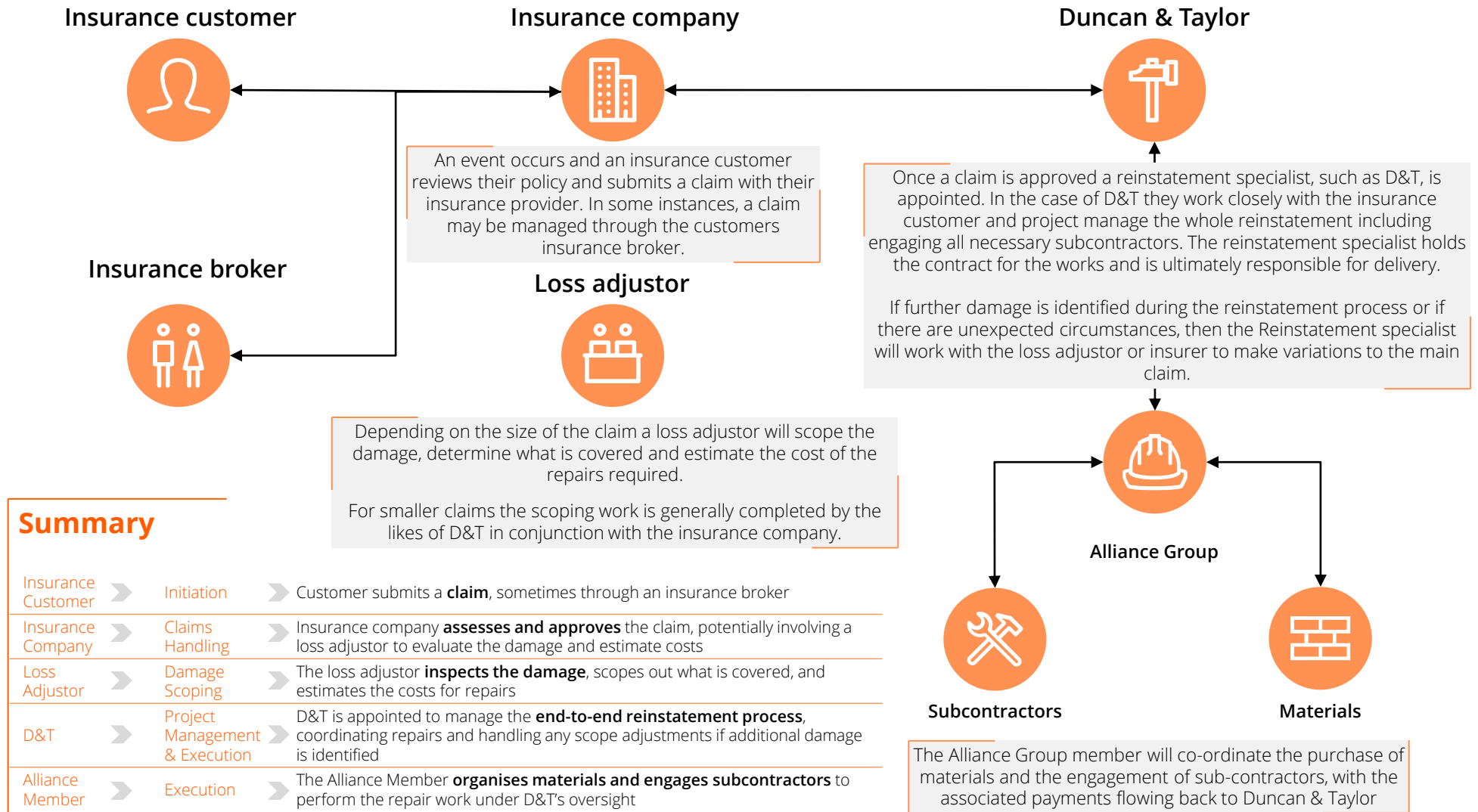
Blockwork & brick work



Electricians

THE REINSTATEMENT PROCESS

There are several stakeholders involved in a reinstatement process, D&T manage relationships across key parties to support the delivery and ensure there is a pipeline of new work.



MARGIN PROFILE

As distinct from a more traditional construction firm, D&T has a number of levers to protect margin. This has led to a very stable gross margin profile over time.

Margin protection

- D&T maintains a high level of protection over its gross margin.
- This is enabled by some unique attributes associated with insurance reinstatement work and D&T's business model, including:

Claim variations

There are a wide range of scenarios where the scope and cost of the reinstatement work can be amended via a claim variation. These include situations where additional damage is uncovered once work commences, unforeseen circumstances which cause a time delay (and thus an increase in cost) and in some circumstances where material or labour prices vary significantly from what was originally quoted.

Alliance Group arrangements

D&T is remunerated for its role in delivering reinstatement work via a gross margin (typically 20% to 30%) which is applied across labour and materials with the Alliance Member working within the remaining 70% to 80%. In a situation where costs were lower than expected the Alliance Member gets the benefit of a higher margin however where costs are higher than expected (and a claim variation is not possible) then the Alliance Group member generally must absorb the lower margin. This structure has enabled D&T to maintain a consistent margin. With larger projects, margin upside is generally shared between D&T and the Alliance Group member.

During the quoting process D&T works closely with its Alliance Members to ensure the pricing included in their quotes are acceptable in the current market.

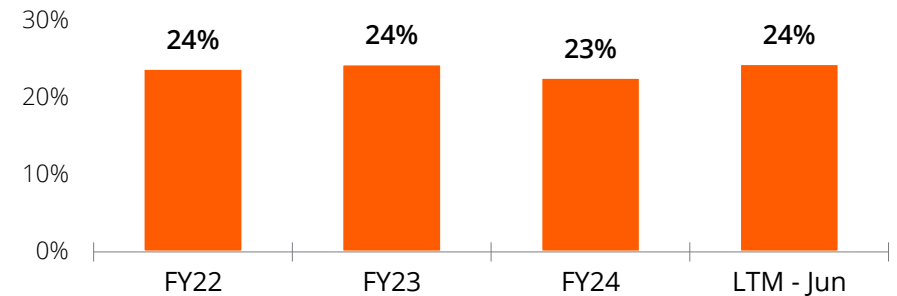
Nature of projects

As distinct from more traditional construction firms, the time periods involved with the projects undertaken by D&T are generally shorter (less than \$10k projects are generally completed within ~30 days). This reduces the risk of price fluctuations or other changes impacting margin.

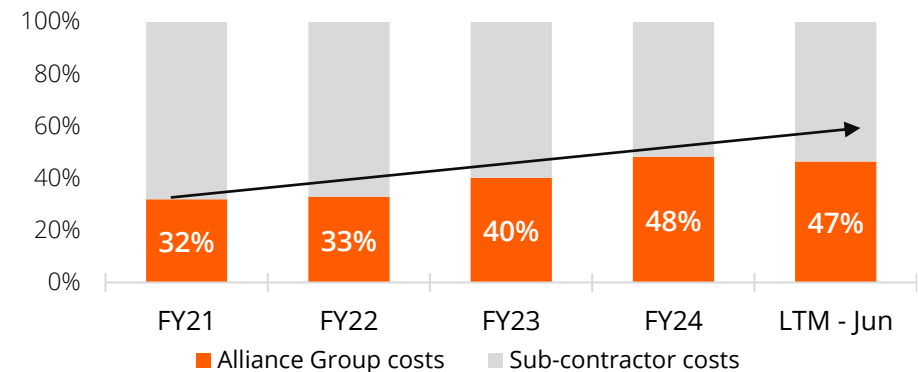
Margin profile

- D&T has maintained a consistent gross margin profile across the past several years, this is despite changing market conditions impacting labour and materials pricing.
- Alliance Group members represent an increasing portion of total contractor costs which is supporting stability in the gross margin profile.

D&T | Gross margin % FY22 to LTM

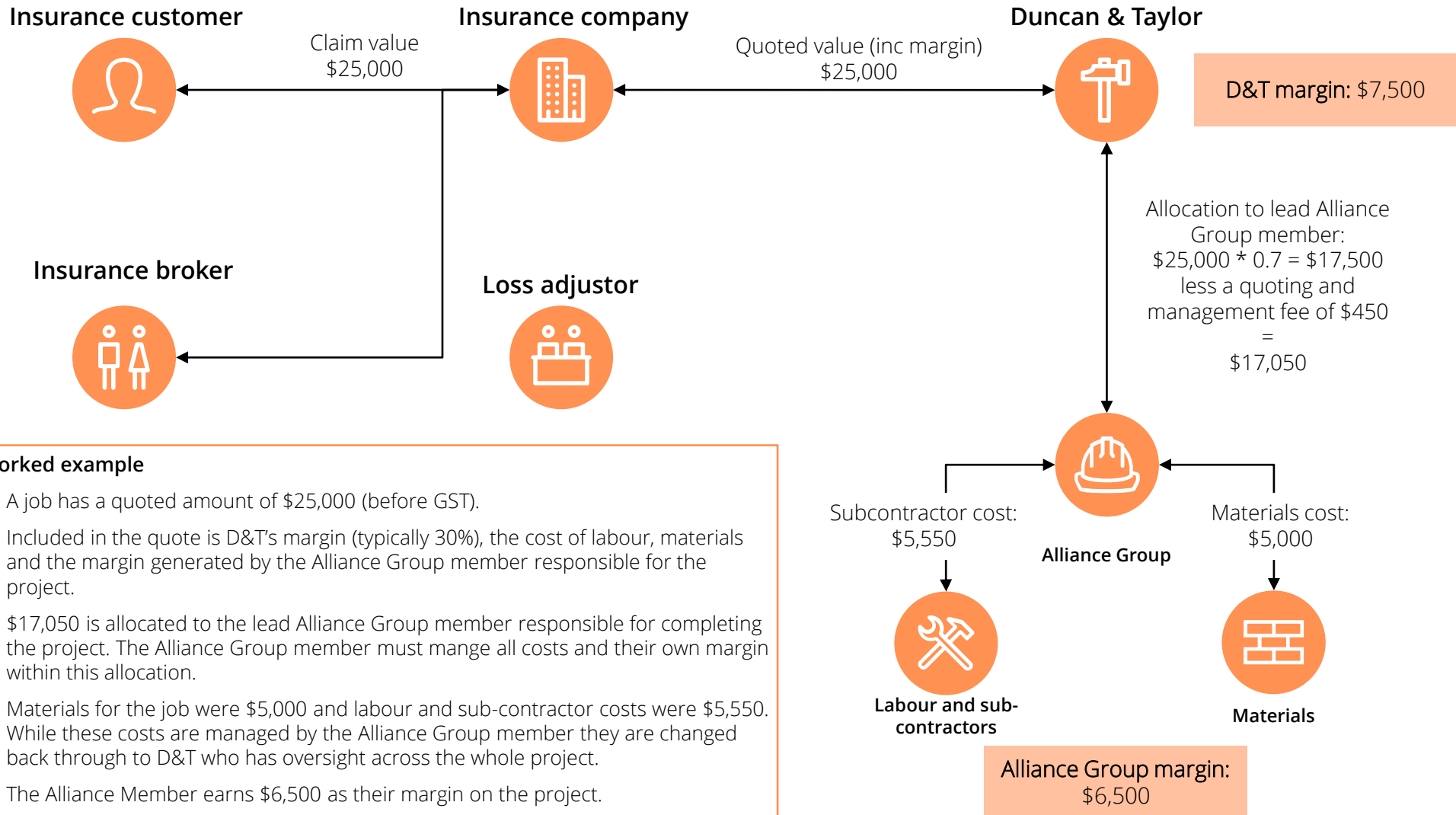


D&T | Alliance Group % of total contractor costs



MARGIN PROFILE EXAMPLE

The commercial structure that D&T has in place with the Alliance Group provides margin protection for D&T and incentivises the efficient delivery of projects.



Worked example

- A job has a quoted amount of \$25,000 (before GST).
- Included in the quote is D&T's margin (typically 30%), the cost of labour, materials and the margin generated by the Alliance Group member responsible for the project.
- \$17,050 is allocated to the lead Alliance Group member responsible for completing the project. The Alliance Group member must manage all costs and their own margin within this allocation.
- Materials for the job were \$5,000 and labour and sub-contractor costs were \$5,550. While these costs are managed by the Alliance Group member they are charged back through to D&T who has oversight across the whole project.
- The Alliance Member earns \$6,500 as their margin on the project.

TECHNOLOGY AND SYSTEMS

D&T utilise a suite of software solutions to manage its business functions.

D&T currently use a range of software solutions

Job management and reporting



Fergus is a 3rd party job management product with both desktop and mobile applications. D&T utilise Fergus to:

- Manage jobs by allocating roles from quoting to completion
- Produce quotes for approval from insurer/broker/loss adjuster
- Enable communications from photographic and written updates
- Time entry for tradespeople
- Invoicing of completed jobs and progress payments
- Dashboard view of financial performance

Accounting and finance



Xero is the primary accounting and finance tool used. Functions used by D&T include:

- Paying supplier invoices
- Reconciliation of invoices and payments
- Production of management accounts
- Financial analysis and reporting

Health and safety



IMPAC audits D&T's health and safety performance. Retaining certification from IMPAC is a condition of many of D&T's contracts with insurers

HazardCo provides resources and templates for health & safety with desktop and mobile applications

D&T also generates health & safety resources (e.g. site specific safety plans) internally

HR and payroll



iPayroll is D&T's payroll system. Functions utilised include:

- Payment of wages to office staff, operations managers, and directly employed tradespeople
- Leave booking system and approvals

D&T' is in the process of developing three new digital tools to improve customer experience and support growth

Eden (in the pilot phase)

- Job management and quoting platform.
- Permissioned access for tradespeople, insurance/intermediary agents, and claimants.

Domino

- Collaborative pricing tool with the flexibility to utilise standard price books or bespoke pricing.
- Access for D&T management and insurance/intermediary agents.

Genesis

- Back end for *Eden* and *Domino* for internal job management purposes.

DIGITAL INNOVATION

D&T is investing in digital innovation to improve customer experience and support growth.

D&T's future state will incorporate three new digital products

Eden

- Eden is a job management software and is in the pilot phase of development, with selected existing jobs currently utilising Eden. Over time D&T expect to replace Fergus with Eden.
- One of the key objectives of the development of Eden is to increase transparency and the ease of reporting to key stakeholders. All files, photos, and status updates for the job are recorded on Eden, and other project management tools such as task lists and Gantt charts are automatically created.
- External parties, including insurance/ intermediary agents and claimants, can view job information and updates. This is on a permissioned basis, where each type of user has specific access/edit permissions. These permissions can be further tweaked on a job-by-job basis, allowing for elevation or demotion of a particular user.
- Eden also integrates with other platforms including Xero, Fergus (to enable the transition from Fergus to D&T's own technology stack), Google Gemini (AI powered image/video object detection and sentiment analysis) and Matterport (3D visual scans of claimant property).
- Eden is expected to reduce D&T's administrative burden and enhance the customer experience. Stakeholders access to Eden allows them to view the progress of a job whenever they would like, without D&T needing to explicitly communicate progress.

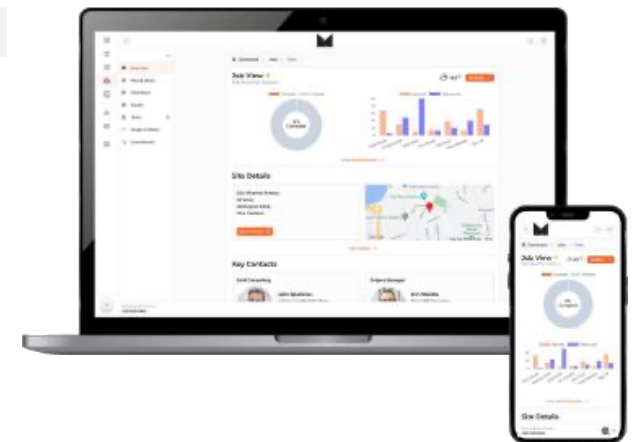


Domino

- Domino is a pricing tool which will allow for multiple users to collaborate on a quote.
- It is intended that pricing within Domino will be either:
 - **Standardised:** an insurer/ intermediaries price book is loaded, prices per unit for labour and materials are fixed to the agreed amount with volume changing; or
 - **Bespoke:** pricing and volume for each item is unique.
- This will make pricing more uniform and consistent with client expectations. Efficiencies are also expected to be generated from allowing real time collaboration on quotes.

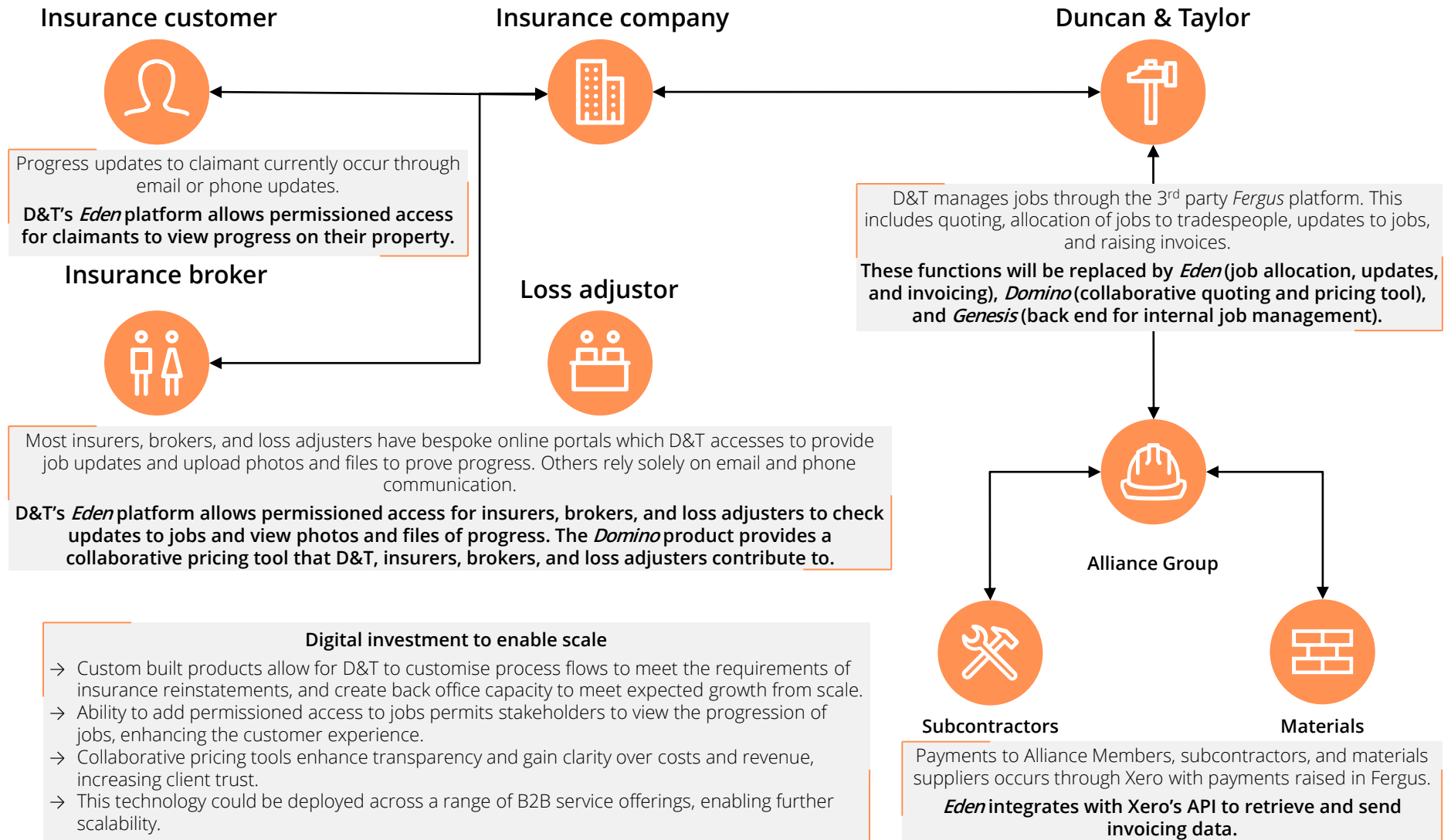
Genesis

- Genesis is a back end for *Eden* and *Domino* for internal job management purposes and is the last tool that is expected to be developed.
- Genesis will replace *Fergus*, with completion marking the milestone where D&T will have full ownership over their job management technology stack.



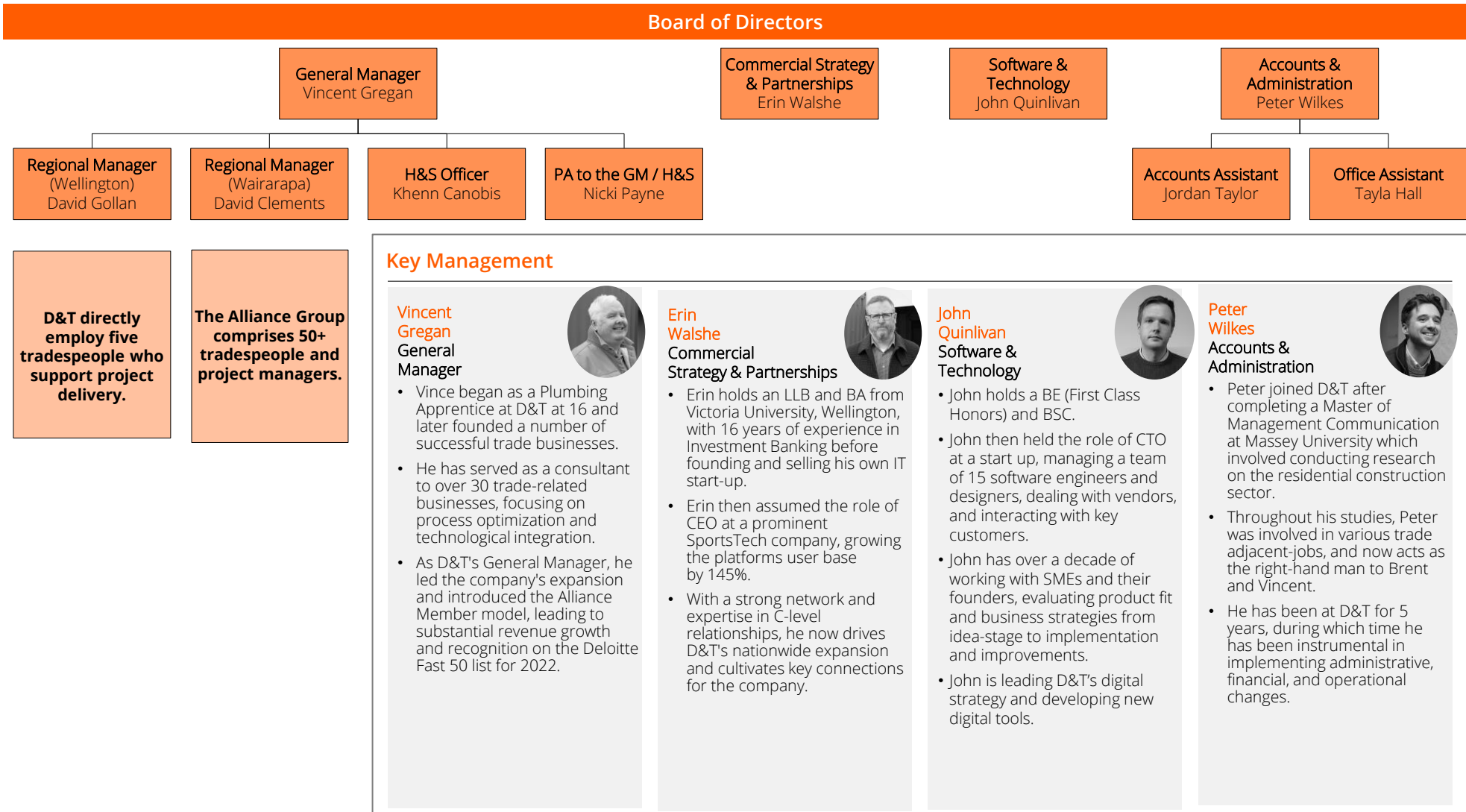
TECHNOLOGY: CURRENT AND FUTURE

D&T utilises a 3rd party job management platform which enables communication and pricing. D&T is investing in new digital tools, which are expected to go live over the next 12-18 months.

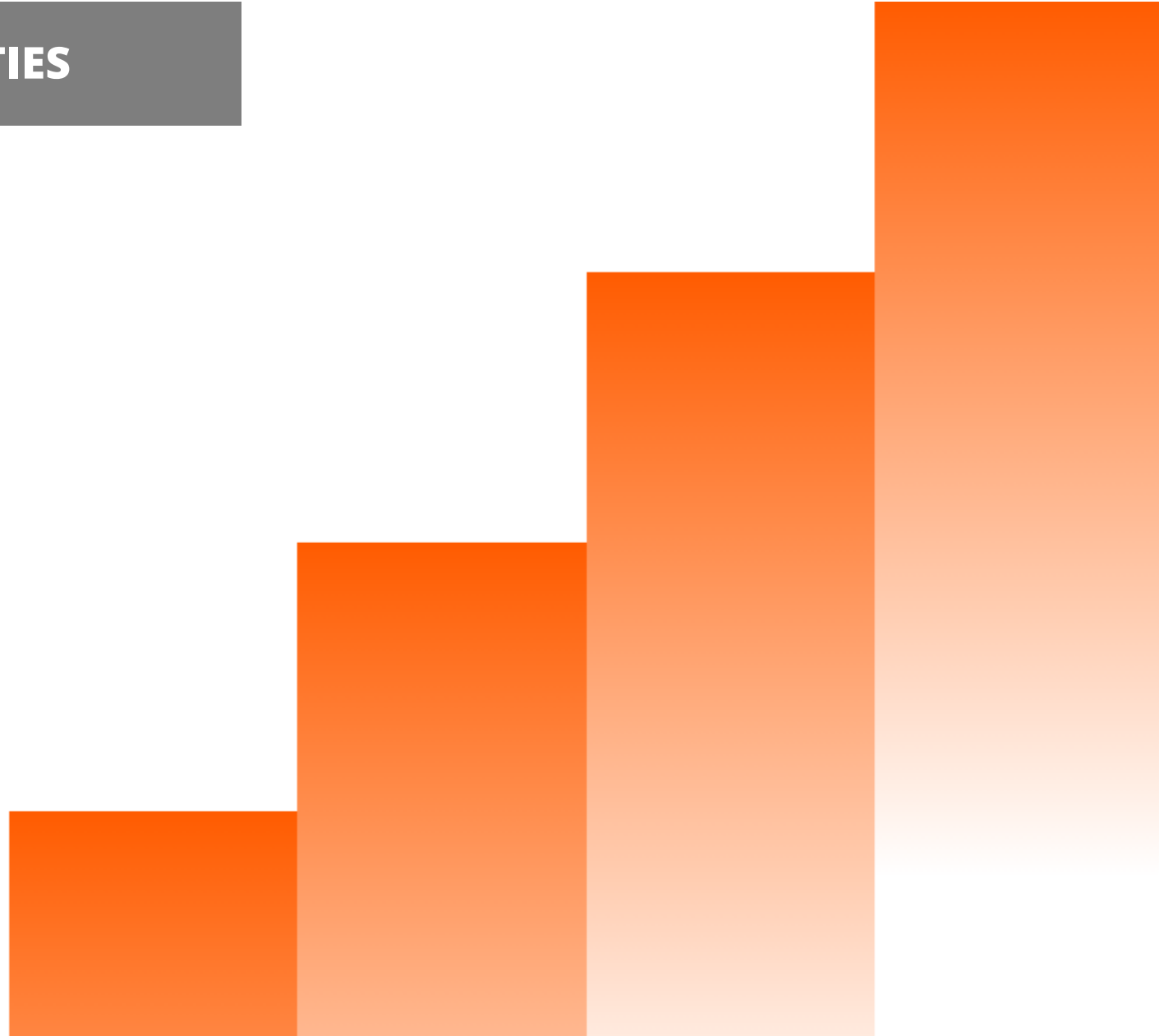


PEOPLE AND RESOURCES

D&T management team oversees strategic initiatives, manage client relations and co-ordinate project delivery.



4. GROWTH OPPORTUNITIES



GEOGRAPHIC EXPANSION

There is a significant opportunity for D&T to leverage its existing foundations to scale into new geographic locations.

National scale

- **Scalable model:** D&T is able to replicate the model employed in its existing geographics to drive growth in new locations. This opportunity is supported by insurers desire to deal with a smaller number of trusted reinstatement specialists.
 - The **Alliance Group** contractual framework and commercial model has proven successful in preserving margin and appropriately incentivising the efficient completion of projects. The Alliance Group model can be deployed into new markets to scale up the labour force to meet customer demands.
 - **Established systems and processes**, which includes the head office support provided by D&T covering insurer reporting, variation management and health and safety.
 - The **digital tools** currently utilised by D&T enable efficiencies in the deployment of their head office support, allowing for more locations to be established without a proportionate increase in the number of head office staff required. The current investment into new digital tools is expected to further support the ability to scale while also improving the customer experience.
- D&T's experience with successful executed geographic expansions has highlighted the importance of securing support from at least one insurer in a new location, which provides a baseline of reinstatement work which can be built up over time.
- The development of national level relationships within insurers is a current focus of the management team, with Erin Walshe being brought in with a focus on this opportunity (as well as developing partnership opportunities).

Proven expansion model: Manawatu case study

D&T has successfully expanded its presence from the Wellington region into both the Manawatu and Wairarapa. The Manawatu expansion is outlined below as a case study:

- D&T was requested by a major insurer to expand into Manawatu, which provided a baseline of work in the region early in the expansion.
- The Alliance Group model was utilised to onboard local tradespeople, rapidly expanding the labour force to meet demand.
- The existing support structures, systems and processes were rolled out from the Wellington office, now that the region has reached scale D&T are seeking a permanent Regional Manager.
- D&T then advertised their presence in the region to other insurance and intermediary clients, leveraging existing relationships and the trusted D&T brand.

Over time the D&T model could be rolled out nationwide.

There are significant opportunities in a number of key regions including Auckland, Waikato and Canterbury.



The D&T management team have been developing corporate level relationships within insurers to enable this growth opportunity.

OTHER GROWTH OPPORTUNITIES

In addition to geographic expansion there are a number of other growth opportunities available to D&T.

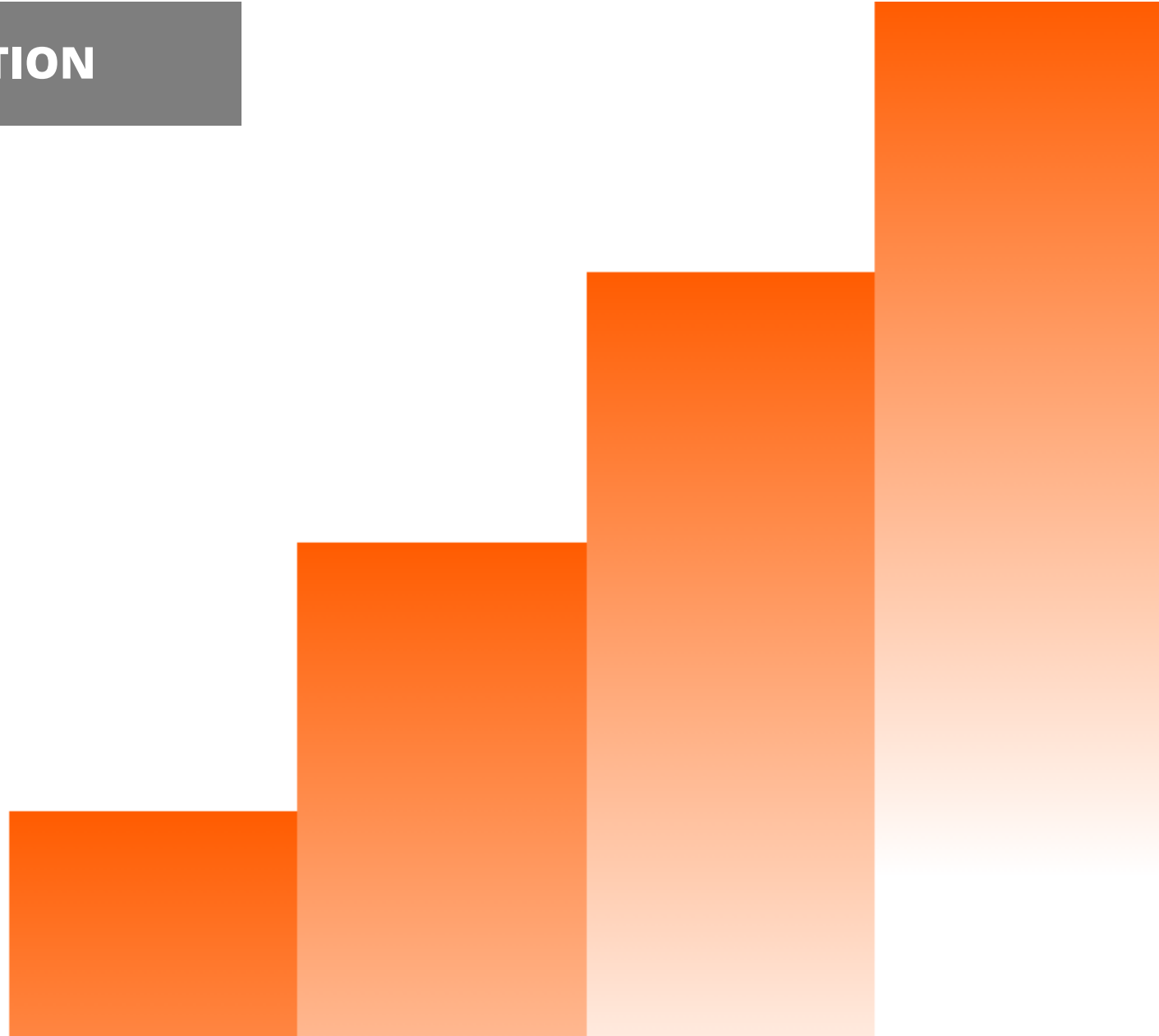
Diversification

- D&T's proven model is able to be deployed across a broad range of construction work, including insurance reinstatement projects but also maintenance and other construction work.
- Historically, D&T has held maintenance partnerships for a range of public sector entities and currently holds a number of small maintenance roles (the most material being the maintenance of children's homes in the Wellington region for Oranga Tamariki).
- There is an opportunity for D&T to grow its portfolio of maintenance contracts into a meaningful diversified revenue stream.
- Potential opportunities include:
 - Retirement village operators;
 - Local government;
 - Central government departments (e.g. MSD);
 - Property managers; and
 - Body corporates.

Partnerships

- There is an opportunity for D&T to develop deeper relationships and partnerships with a range of other industry participants who have influence over insurers and their decision making.
- Key selected opportunities include:
 - Insurance Brokers:**
 - Larger insurance broker groups manage material policy books and are often trusted intermediaries by their clients. This provides them with the ability to influence or control decision making when it comes to claim processes.
 - There is an opportunity for D&T to partner with insurance brokers as their preferred construction partner. This enables the broker to offer a more comprehensive service to their client with the knowledge that construction work will be completed to a high standard in a timely way.
 - As an example, D&T is currently undergoing a trial with Gallagher Insurance Brokers as the construction partner for their SMARTpak SME business insurance product.
 - Property Managers:**
 - Large property managers are significant customers of the major insurers, and also have ongoing maintenance requirements for the properties they manage.
 - Linked to the diversification opportunity opposite, D&T is able to deploy its proven model to both insurance reinstatement work and maintenance work.
 - If D&T is already a trusted maintenance partner for a particular property manager, then they are in a prime position to also secure reinstatement work for properties under management by this manager as required.
 - As an example, D&T have a relationships with Your Property Matters (YPM) as an exclusive provider of reinstatement work. YPM has an estimated insured property book worth over \$2 billion.

5. FINANCIAL INFORMATION



FINANCIAL SNAPSHOT

D&T has achieved significant revenue and earnings growth across the past several years.



18% Revenue CAGR (FY21 – LTM Jun 24)

- D&T has experienced significant growth across with revenue growing at a compound annual growth rate (CAGR) of ~18% between FY21 and the last twelve months (LTM) to June 2024.
- Across this period the Company expanded its presence across the lower North Island.

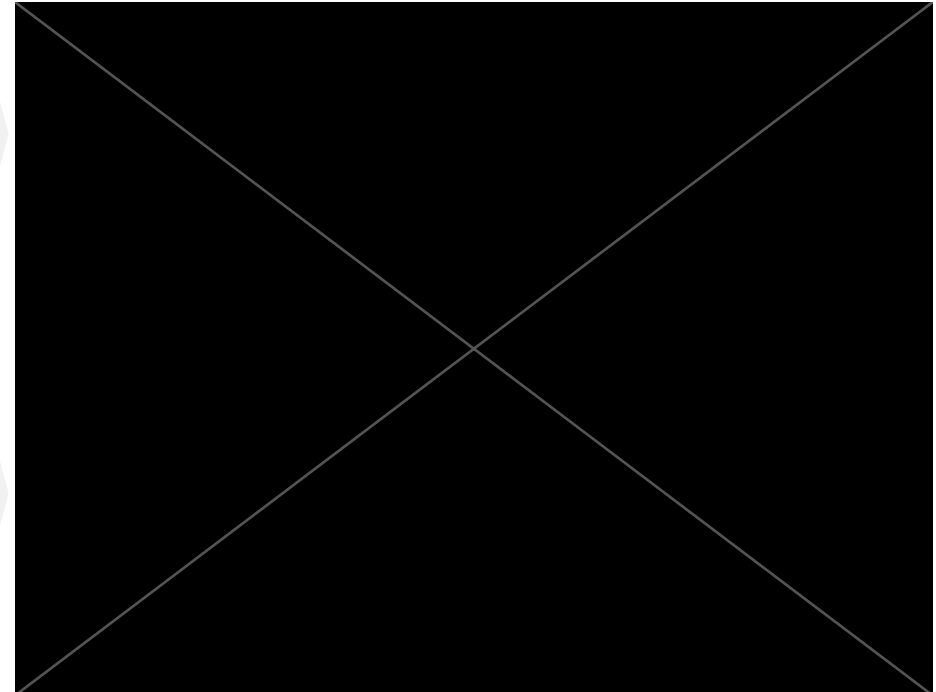


- Normalised earnings before interest, tax, depreciation and amortisation (EBITDA) in the LTM June 2024 was [REDACTED]
- A CAGR of 17% on EBITDA in the FY21 period of [REDACTED]

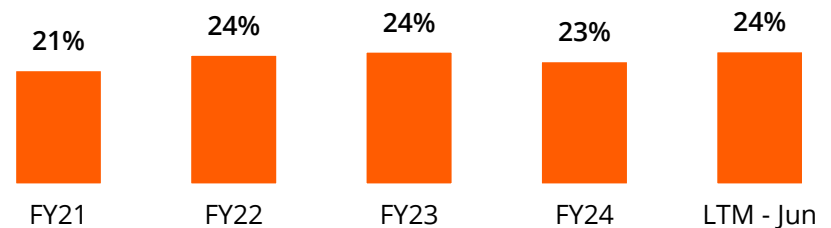


24.5% LTM Jun'24 Gross margin

- In the LTM June 2024 period D&T generated a gross margin percent of ~24.4%.
- Gross margin has been relatively stable at 23% to 25% across the FY22 to LTM periods. This reflects the margin protection built into the Alliance Group model and the industry dynamics (e.g. the ability to get claim variations for unforeseen changes).



Gross margin %

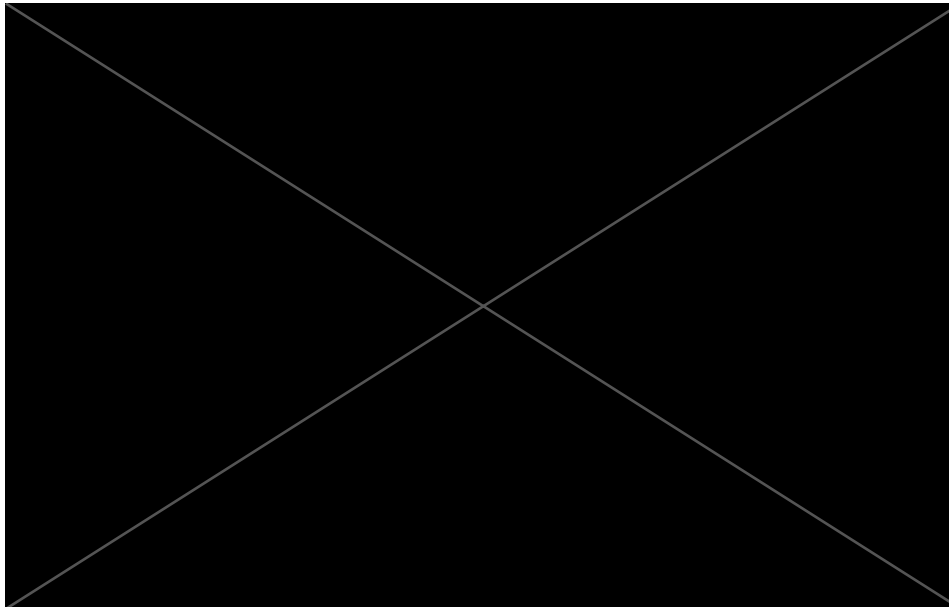


PROFIT AND LOSS

The unique model deployed by D&T has enabled stability in gross profit % while the business scales.

Duncan & Taylor Group- Normalised P&L

NZ \$000	FY21	FY22	FY23	FY24	LTM Jun
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Key performance metrics

Gross margin %	21%	24%	24%	23%	24%
EBITDA %	14%	15%	14%	12%	14%

Commentary

- D&T has delivered strong revenue growth across the last several years, with the Company generating revenue CAGR of ~18% between FY21 and the 12 months to June 2024 (**LTM**). Geographic expansion is a strong contributor to this growth with D&T expanding to the Wairarapa region in FY21 and the Manawatu in FY24.
- A small number of large projects (e.g. full house rebuilds) in Wellington region in FY23 led to a strong revenue result in that period. Additionally, the Company relocated people on a temporary basis to the Hawkes Bay in late FY23 and FY24 to support with reinstatement work following Cyclone Gabrielle.
- Gross margins have been relatively stable at ~24% since FY22, with the unique model deployed by D&T providing a high level of margin protection. The slight reduction in gross margin % in the FY24 period is driven by temporary accommodation costs associated with people being located in the Hawkes Bay, with gross margins returning to normal levels in the LTM period.
- Since FY21 D&T has built out its management “bench strength” with the appointment of Erin Walshe and John Quinlivan into senior roles to support growth. Despite this investment into its senior leadership team, D&T has maintained an EBITDA margin % of ~14%, with the resource base now in place the Company expects to generate economies of scale as further growth is achieved.

P&L normalisations

Several normalisations have been made to the operational expenditure, including:

Shareholder related costs: A number of expenses that relate to the current shareholder have been removed from the P&L as these costs would not continue under a different ownership structure.

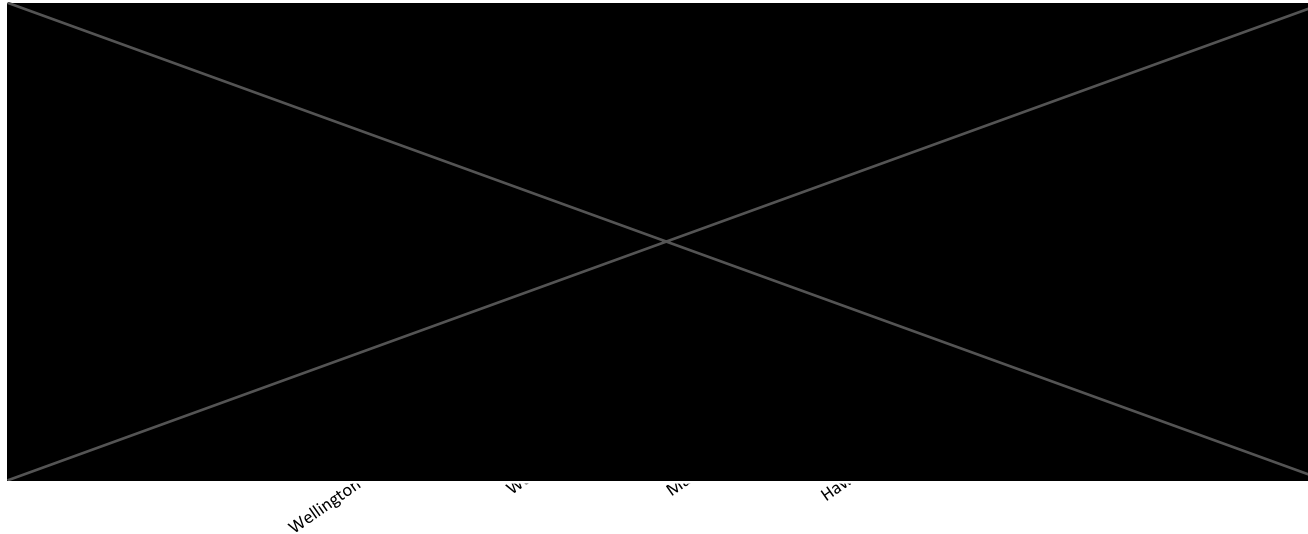
One off/ non-recurring items: A small number of one-off or non-recurring items have been removed from the P&L, including one off bad expenses and legal costs associated with the establishment of the Alliance Group contract.

Go forward amounts: Certain expense items have been adjusted to reflect the intended go forward amounts (e.g. rent expense on a related party property).

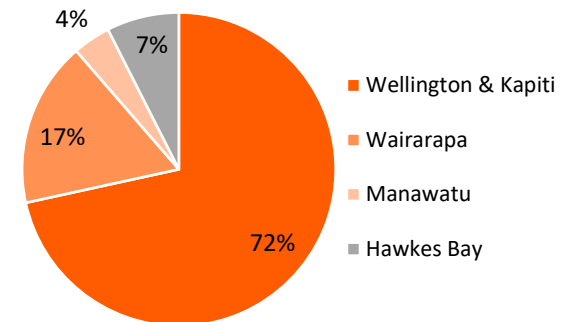
REVENUE GROWTH DRIVERS

Geographic expansion has been a key contributor to growth in the D&T business. Management believe there is significant future growth potential.

Indicative revenue bridge by region FY21 to LTM



Indicative revenue by region | LTM



Commentary

- D&T has historically been based out of Wellington with the resource pool servicing the Wellington and surrounding regions (e.g. Kapiti).
- The Wellington region contributed [REDACTED] in revenue growth between FY21 and the LTM (noting that there was a small increase in revenue in the Wellington region in FY23 driven by a small number of very large projects in that period).
- D&T expanded to the Wairarapa region in FY21 with this region contributing [REDACTED] in revenue growth across the same period, this expansion also saw an increase in Alliance Group members across the lower North Island. The Wairarapa region now accounts for ~17% of total revenue.
- D&T was recently requested by a major insurer to [REDACTED] in revenue growth.

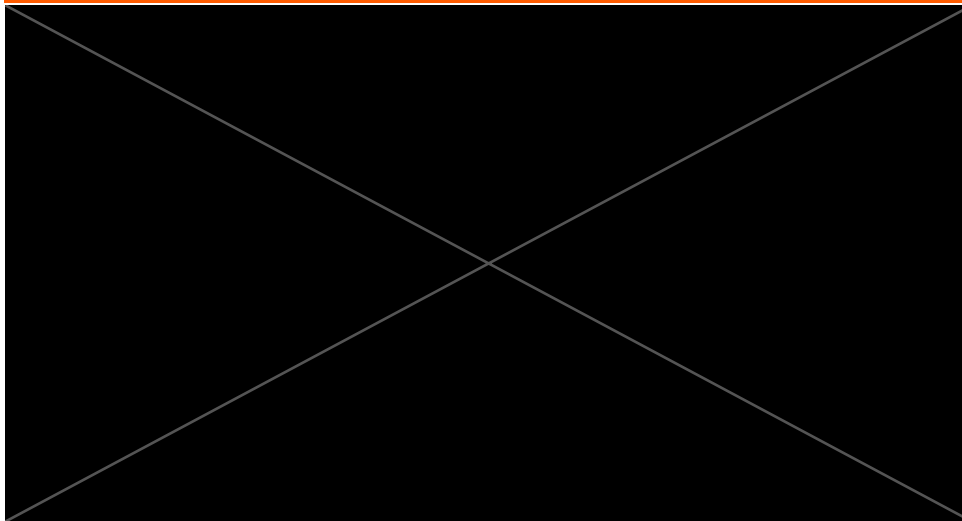
Commentary (cont.)

- Management believe there are still strong growth prospects across both the Wairarapa and Manawatu regions and D&T continues to build their presence.
- Additionally, D&T saw an opportunity to support with some of the reinstatement work required in the Hawkes Bay following Cyclone Gabrielle, this included the temporary relocation of people (including Alliance Group members) to the Hawkes Bay to support with this work. Work from the Hawkes Bay region contributed to [REDACTED] of revenue growth across the period.
- Management believe there is an opportunity for a continuing presence across the central North Island, leveraging the existing foundations of the Company and relationships established in the Hawkes Bay.
- D&T explored entering the Marlborough market but made the decision to not continue with this market, this is the main driver of the "other" bucket.

BALANCE SHEET

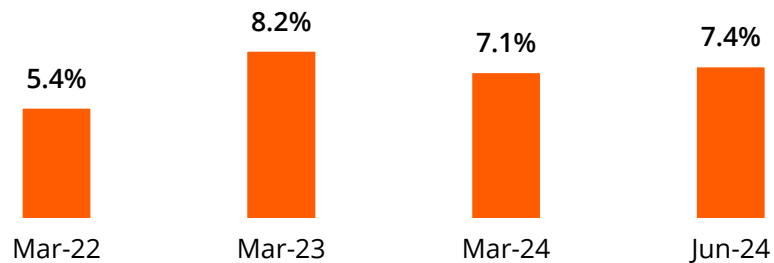
As at June 24 D&T h

Duncan & Taylor Group- Balance sheet



Net working capital as % of revenue	5%	8%	7%	7%
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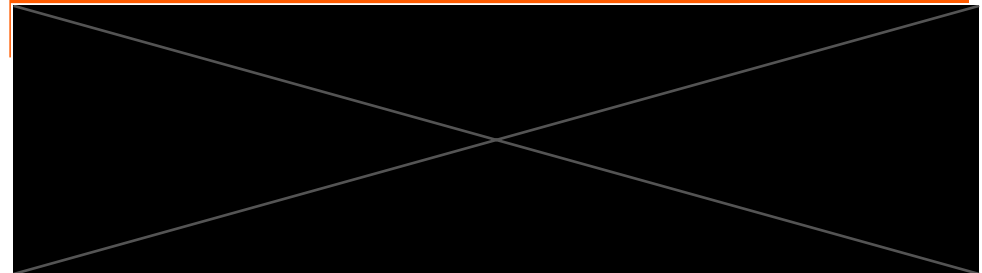
Net working capital as a % of revenue



Commentary

- D&T has a relatively simple balance sheet with accounts receivable, offset by accounts payable, accounting for the vast majority of the working capital balance.
- Working capital as a % of revenue has typically been in the range of 7% to 8% across the past several years.
- D&T has a fixed asset base which includes computer software and hardware, vehicles and a small amount of other PPE.

Duncan & Taylor Group | Fixed Asset Register as at Jun-24



6. PROCESS



PROCESS

The shareholders of D&T are seeking expressions of interest from potential acquirers.

Sale process

- The shareholders of D&T are seeking expressions of interest from potential acquirers interested in the acquisition of D&T.
 - Deloitte New Zealand has been engaged to manage the sale process on behalf of the shareholders and the company.
 - The process will consist of two stages as outlined below.
1. You have received this Information Memorandum as you have signed a confidentiality agreement. You are invited to submit an initial offer to acquire the shares of D&T (encompassing both Duncan & Taylor Limited and Duncan & Taylor Management Group).
 2. Following the receipt of Initial Offers, the shareholders will, at their absolute discretion, either select a party or parties to undertake due diligence and submit a final binding offer (Final Offer) to acquire the shares in Duncan & Taylor. During the due diligence phase, it is intended that you will:
 - be provided with access to an online data room with Q&A functionality;
 - have the opportunity to attend a management presentation;
 - have an opportunity to conduct one or more site visits; and
 - be provided with a sale and purchase agreement.
- The final offer will include a sale and purchase agreement that the interested party is prepared to execute.
- All enquiries should be directed to Deloitte in the first instance. Under no circumstances should direct contact be made with Duncan & Taylor (including its shareholders, employees, customers, and suppliers) without prior authorisation of Deloitte.
 - Contact details for Deloitte personnel responsible for managing the process are as follows.

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Partner

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Director

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DISCLAIMER

This Information Memorandum has been prepared for Duncan & Taylor Limited and Duncan and Taylor Management Group Limited (collectively **Duncan & Taylor** or **D&T**) for use by prospective acquirers solely in considering their interest in acquiring all of the shares in Duncan & Taylor. Deloitte has been retained to manage the sale of the shares in Duncan & Taylor.

This Information Memorandum has been prepared from information provided by Duncan & Taylor to assist interested parties in making their own evaluation and not as specific advice to any particular recipient or person. It does not purport to contain all of the information that a prospective acquirer may require. The information on which this Information Memorandum is based has not been independently verified or audited by Duncan & Taylor or Deloitte or any other party. In addition, Duncan & Taylor and Deloitte and their advisers (including their respective directors, shareholders, agents, representatives, partners and / or employees) shall not be taken to be under any obligation to correct, update or revise this Information Memorandum or any written or oral communications transmitted to the recipient in the course of its evaluation. In all cases, interested parties must conduct their own independent investigations and analysis of Duncan & Taylor and the data set out in this Information Memorandum, rely entirely on such investigations and analysis and not on this Information Memorandum in relation to their assessment of Duncan & Taylor and form their own opinion as to whether or not to seek to acquire the shares in Duncan & Taylor. This Information Memorandum is not an offer of any kind and in particular is not an offer of shares for sale or subscription, or an offer for the sale of any of Duncan & Taylor, nor is it recommendation of any kind.

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No representation is made that the projections and / or forecasts will be achieved. Actual future events may vary significantly from the projections and / or forecasts. Each recipient should make its own enquiries and investigations regarding the assumptions, uncertainties and contingencies which may affect the future operations and the impact that different future outcomes may have with respect to Duncan & Taylor and should not rely on the projections and / or forecasts of this Information Memorandum.

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In this Information Memorandum, any reference to, or discussion of, legislation is provided for convenience and is only intended to be indicative in nature. No representation is made that this Information Memorandum identifies all relevant legislation or provides a complete explanation of any legislation.

This Information Memorandum does not constitute, or include any, investment, accounting, financial, legal or tax advice.

Neither the delivery of this Information Memorandum nor the subsequent execution of any agreement in relation to Duncan & Taylor shall constitute a representation that there has been, or will be, no change in the information contained in this Information Memorandum or the information on which it is based.

Nothing contained in this Information Memorandum shall constitute an offer to sell, nor is this Information Memorandum intended to be legally binding. Only the specific terms which are contained in a final sale and purchase agreement for the shares in Duncan & Taylor will have any legal effect. In no event will such a sale and purchase agreement contain any representation(s) as to projections and / or forecasts.

By accepting this Information Memorandum, the recipient acknowledges and agrees that:

- all of the information contained in this Information Memorandum is confidential and is subject to the Confidentiality Agreement which has been previously executed by the recipient;
- subject to the terms of the Confidentiality Agreement, none of the information contained in this Information Memorandum will be used by the recipient or any of its directors, employees, financiers, representatives or advisers in any manner whatsoever, in whole or in part, other than in connection with their evaluation of Duncan & Taylor for the purpose of considering an acquisition of Duncan & Taylor or the provision of financial accommodation in connection with an acquisition of Duncan & Taylor ;
- the recipient will not reproduce this Information Memorandum, in whole or in part, except as provided under the Confidentiality Agreement, and will not distribute all or any part of this Information Memorandum to any person other than those persons to whom it is permitted to give access to, or disclose the information to, and in any event always in accordance with the Confidentiality Agreement;
- if at any time the recipient does not wish to pursue this matter, or is unsuccessful in any offer for Duncan & Taylor, subject to any notification to the contrary from Duncan & Taylor or Deloitte, the recipient will return this Information Memorandum and all copies thereof to Deloitte as soon as practicable, together with any other confidential material which the recipient may have received from or on behalf of Duncan & Taylor. Any copies created, in a media in which return is not possible, must be destroyed at the same time as the return of other copies of this Information Memorandum;
- any proposed actions by the recipient which are inconsistent in any manner with the foregoing agreements will require the prior written consent of Duncan & Taylor; and
- the recipient accepts the terms on which this Information Memorandum is delivered as set out above.